

Chapter 7: Managing Sequence Risk with Bonds

Bonds can be incorporated directly into a retirement strategy in three broad ways:

1. An assets-only approach as part of the asset allocation to build a total-returns investment portfolio,
2. Matching the duration of bond funds to the duration of the retirement liability, and
3. Holding individual bonds to maturity to generate the desired cash flows to fund expenses on an ongoing basis throughout retirement.

The two latter methods put the retirement liability (meeting an ongoing spending goal in retirement) at the forefront and try to choose bonds to best protect the spending plan from interest rate volatility.

(As an aside, another use for bonds—or, more likely, shorter-term cash instruments—with sufficiently low volatility is as a source of liquidity to provide for short-term and contingency expenses. The discussion in this chapter focuses on using bonds specifically to meet budgeted retirement expenses.)

The first approach is the standard investing philosophy for accumulation that does not really consider how the nature of risk changes upon retirement. In short, it uses modern portfolio theory to choose an asset allocation strategy that includes bonds as part of a total-returns investment portfolio. Bonds, with their lower expected returns and volatility, provide a way to reduce the portfolio's overall volatility to an acceptable level while still maintaining a sufficient overall portfolio return. Asset allocation in this framework is generally determined in terms of assets-only considerations to build a diversified portfolio with the highest expected return for the accepted level of risk. To the extent that retirement income needs are considered, it is generally to find an asset allocation that will minimize the probability of failure for the financial plan. Looking back to William Bengen's original work in the 1990s about sustainable spending rates, the best worst-case historical spending rates could be achieved with an overall